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File No.: EXP202310007 (PS/00196/2024)

RESOLUTION OF SANCTIONING PROCEDURE

From the procedure initiated by the Spanish Agency for Data Protection and based on the following

BACKGROUND

FIRST: A.A.A. (hereinafter, the complainant) filed a complaint with the Spanish Agency for Data Protection on June 5, 2023. The complaint is directed against KVIKU SPAIN, S.L. with NIF B09804295 (hereinafter, KVIKU). The reasons for the complaint are as follows:

The complainant states that after requesting a loan on the website crezu.es at the time of online signing, the website kviku.es loads, depositing an unsolicited amount of money into their bank account. They indicate that the following day they proceeded to repay the debt with the required interest, sending KVIKU information regarding the paid debt and requesting the deletion of their personal data, to which they were responded that they must proceed with the payment or otherwise their data would be included in credit information systems.

Along with their complaint, they provide proof of payment dated September 1, 2022, a complaint filed in a Guard Court of ***LOCALITY.1 on October 15, 2022, subsequent debt collection emails sent by the respondent, and a provisional dismissal order from November 2022.

SECOND: In accordance with Article 65.4 of Organic Law 3/2018, of December 5, on Personal Data Protection and Guarantee of Digital Rights (hereinafter LOPDGDD), the complaint was forwarded to KVIKU for analysis and to inform this Agency within one month of the actions taken to comply with the requirements set forth in data protection regulations.

The forwarding, which was carried out in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP) by means of electronic notification, was not collected by the responsible party within the availability period, being understood as rejected in accordance with the provisions of Article 43.2 of the LPACAP on August 1, 2023, as stated in the certificate in the file.

Although the notification was validly carried out by electronic means, considering the procedure completed in accordance with the provisions of Article 41.5 of the LPACAP, an informational copy was sent by postal mail, which was duly notified on August 16, 2023. In this notification, they were reminded of their obligation to communicate electronically with the Administration, and they were informed of the means of access to such notifications, reiterating that, henceforth, notifications would be made exclusively by electronic means.

No response has been received to this forwarding letter.

THIRD: On September 5, 2023, in accordance with Article 65 of the LOPDGDD, the complaint filed by the complainant was admitted for processing.

FOURTH: The General Subdirectorate of Data Inspection proceeded to carry out preliminary investigative actions to clarify the facts in question, by virtue of the functions assigned to control authorities in Article 57.1 and the powers granted in Article 58.1 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and in accordance with the provisions established in Title VII, Chapter I, Section two, of the LOPDGDD, being aware of the following aspects:

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Regarding crezu.es

- o The website crezu.es includes links to the "Terms and Conditions" and the "Privacy Policy."

- o The following is stated in the Terms and Conditions: "The purpose of this website is to collect online loan offers, provide information about market offers, and choose the best offer for you. The use of this website (www.crezu.es) is free of charge. Loan providers pay Fininity Ltd. for the service of sending

customer requests and data. The website does not provide loans but collects and compares offers from third parties. The website displays links from this website to third-party websites solely for informational purposes. We are not responsible for their content, as we do not verify these websites and they do not belong to us. Fininity Ltd. also collects all relevant data about you and provides it to Crezu loan providers via API to find the best offer for you. Fininity Ltd. is unable to forward credit information about you and the loan you wish to receive unless you fill in all the fields of the application form and click the button."

Regarding the request for the deletion of personal data

- o The claimant states that they requested a loan, but a different amount was credited to their account, prompting them to return it. They provide a copy of documentation justifying the deposit into their account of one amount and its return.
- o They provide a copy of an email dated September 1, 2022, addressed to several recipients including support@kviku.es, an email address listed in the privacy policy of kviku.es as a means to exercise data protection rights. The content of the email informs that they have proceeded to cancel the loan and requests the deletion of their personal data. They provide a copy of an email dated October 23, 2022, sent from support@kviku.es to the claimant requesting payment of the debt.
- o There is no record that the debt has been included in files of financial solvency and credit information.
- o They provide a copy of the Order of Provisional Dismissal from the Court of Instruction Number X of ***LOCALITY.1, an order issued as a result of the Preliminary Proceedings initiated by the complaint filed by the claimant regarding the same facts claimed here. The procedure is dismissed due to lack of criminal relevance.
- o Regarding the retention of the data of the interested party, the Privacy Policy published on the kviku.es website states the following: "KVIKU will retain the data provided as long as the interested party does not request its deletion, even when the loan application has not been accepted, in order to avoid duplications in the study of new applications."

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On 8/11/2023, the respondent was requested via electronic notification for information and documentation in order to clarify the reported facts, which expired as it was not retrieved by the recipient.

On 20/11/2023, the respondent was requested via postal notification for information and documentation in order to clarify the reported facts, which was delivered to the recipient on 5/12/2023, as evidenced by the acknowledgment of receipt from the postal service. No response has been received to this request, so on 13/3/2024, the request was reiterated via postal notification, delivered to the recipient on 21/3/2024, without any response being obtained.

FIFTH: On 2 July 2024, the Director of the Spanish Agency for Data Protection agreed to initiate sanctioning proceedings against the respondent, for the alleged infringement of Article 5.1.e) of the GDPR, classified under Article 83.5.a) of the GDPR, and for the alleged infringement of Article 17 of the GDPR, classified under Article 83.5.b) of the GDPR. In this Initiation Agreement, KVIKU was informed that it had a period of ten days to submit allegations.

This Initiation Agreement was notified to KVIKU on 19 September 2024 in accordance with the rules established in Law 39/2015, of 1 October, on the Common Administrative Procedure of Public Administrations (LPACAP), as evidenced by the acknowledgment of receipt in the file.

SIXTH: Once the aforementioned initiation agreement was notified in accordance with the rules established in the LPACAP and the period granted for the submission of allegations had elapsed, it has been confirmed that no allegations have been received from KVIKU.

Article 64.2.f) of the LPACAP - a provision of which KVIKU was informed in the initiation agreement of the procedure - establishes that if no allegations are made within the stipulated period regarding the

content of the initiation agreement, when it contains a precise statement regarding the attributed responsibility, it may be considered a proposal for resolution. In this case, the initiation agreement of the sanctioning file determined the facts that specified the accusation, the infringement of the GDPR attributed to KVIKU, and the sanction that could be imposed. Therefore, taking into account that KVIKU has not submitted allegations to the initiation agreement of the file and in accordance with the provisions of Article 64.2.f) of the LPACAP, the aforementioned initiation agreement is considered in this case as a proposal for resolution.

From the actions taken in this procedure and the documentation in the file, the following has been established:

PROVEN FACTS

FIRST: It is recorded that a contract was concluded between KVIKU and the claimant (p. 23 of the file), under the title "Individual Conditions of the Consumer Loan Contract № (...) of 01-Sep-2022", in which the following is detailed:

"Kviku Global Ltd (registration number 2002071), hereinafter referred to as the "Provider", on one side, sends a proposal to enter into a Consumer Credit Contract under the conditions detailed below, A.A.A., (...) hereinafter referred to as the "Borrower", accepts the offer to conclude a consumer loan agreement under the following conditions:

1. Amount of the loan or credit limit and how to change it. ***AMOUNT.1

[...]

16. Where are the funds deposited? To the Borrower's bank account ***ACCOUNT.1

[...]"

SECOND: A series of bank transactions (p. 5 of the file) are recorded in the account of the claimant. The image from the website www.bbva.es contains the "Latest transactions" of the bank account number ***ACCOUNT.1. From these transactions, dated "1 September", there is a transfer received from "Trustly group ab" for an amount of ***AMOUNT.1.

THIRD: According to the image from the KVIKU website (p. 5 of the file), in a session of the user "A.A.A.", in the submenu "My loans", it can be verified that, from the "Contract (...)", with status "Issued", the following information is recorded:

(...)

Payment information:

Payment date: (...)

Total amount, €: ***AMOUNT.1

Payment method: Online banking

Payment status: Paid"

FOURTH: From the documentation provided by the claimant along with the complaint, the exchange of email messages between KVIKU and the claimant is evidenced as follows:

On 1 September 2022, at 19:53 hours (p. 17 of the file), from the email ***EMAIL.1, an address that belongs to the claimant as stated in the complaint submitted to this Agency, an email was sent, among others, to the addresses "support@kviku.es", "contacto@crezu.es" and "support@trustly.com", with the subject "TOTAL CANCELLATION OF LOAN KVIKU NUMBER (...)" and the following message:

"Good morning,

Kviku Contract Attached

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Through the website crezu.es, I requested a loan (...) and repayment in 90 days. The website made a series of redirects to the website kviku.es, and my credit was approved. I received a transfer of ***AMOUNT.1 from the sender TRUSTLY GROUP AB in my bank account, which distances me further from the initial website crezu.es and leads me to total confusion.

Due to a series of changes that do not give me confidence, I will request my bank, where the deposit of ***AMOUNT.1 was made, to refund the amount and I request the cancellation of all loans related to

Kviku, Crezu, and Trustly Group AB, as well as the legal deletion of all my data.

Thank you and best regards,

A.A.A.

On September 6, 2022, at 16:42 hours (pages 43 and 44 of the file), from the email "contactus@trustly.com":

"Hello A.A.A.,

Thank you for using Trustly.

Of course, we can investigate this for you. However, for us to investigate and provide information, verification is required. Please send us a proof of payment or a screenshot showing all of the following:

- Account holder's name
- Amount
- Transfer date
- Recipient account number
- Sender account number
- Reference number

Text that you have copied/pasted or written yourself is not accepted as proof of payment. Accepted formats are pdf, png, and jpeg. This information is easily accessible in your Online Bank by selecting the detailed view of the specific transaction (it may vary slightly between different banks). Generally, there will also be an option to "Print/Download as PDF."

Thank you in advance.

Best regards,

B.B.B.

Payment Support Agent"

On the same day, at 21:15 hours (page 43 of the file), from the email "****EMAIL.1," a message was sent to "contactus@trustly.com" with the following content:

"Good morning,

I am not satisfied with anything from the beginning.

I would feel more confident speaking by phone with a responsible person before sending more data.

A.A.A."

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On September 7, 2022 (page 31 of the file), from the email "contactus@trustly.com," the following email was sent to the claimant:

"Hello A.A.A.,

Thank you for contacting us; unfortunately, we do not offer phone support at this time. We can currently only assist via email.

Thank you in advance for your cooperation; we look forward to hearing from you.

Best regards,

B.B.B.

Payment Support Agent"

On September 11, 2022 (page 31 of the file), from the email "****EMAIL.1," a message was sent to "contactus@trustly.com" with the following content:

Good morning,

In response to your request, I am attaching the movements related to my request from the physical office of my bank, as well as the screenshot from a few minutes ago.

On September 1, 2022, I received in my account (after requesting a different amount on the website crezu.es, which redirected to kviku.es) an amount of ***AMOUNT.1 that I had not requested.

On September 2, 2022, I made the payment and refund via transfer of the unsolicited amount, for

which I was charged ***AMOUNT.2 in interest and ***AMOUNT.3 in fees. Today, September 11, 2022, I access the kviku website (attached screenshots) and see that the balance is paid.
I want to request confirmation that I have no debt with you and if you can close my contract number (...) on the kviku.es website and deactivate my account in your system.
Awaiting news, best regards.
A.A.A.

On October 23, 2022 (page 40 of the file), from "support@kviku.es," a message was sent to the email "***EMAIL.1" with the following content:

"Good morning,
Regarding the violation of the payment deadline under credit number № (...), you will be charged a penalty for the corresponding delay period, as well as the interest accrued for each day of the delay. If you do not fulfill the obligation to pay the next payment within the next 3 (three) full calendar days, the delay data will be transferred to credit agencies and ASNEF, which will negatively affect your ability to take any loan in the future. You will also be unable to use the benefits of our services.
Please contact us immediately if you have any questions regarding the payment of the credit.
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Greetings,
Customer Service of Kviku
www.kviku.es

On October 30, 2022 (page 29 of the file), an email was sent from Kviku "support@kviku.es" to "***EMAIL.1", with the following message:

"Unfortunately, we have been unable to contact you. Not answering calls will not solve your problems; it will only complicate them. The payment terms of your credit line have been violated. We are approaching your situation in good faith, but you have not responded to this with your loyalty. The total amount of your debt to Kviku Global Ltd (Kviku), including fines and interest, is estimated at ***CANTIDAD.4 and continues to grow every day. Information about your debt has been sent to the credit office and ASNEF. Notifications will not stop until you fully pay your loan.
Once again, we ask you to take the situation seriously and try to resolve the problem before it worsens completely. Sooner or later, you will have to start paying the debt, but its total may be much greater than it is now!"

On November 6, 2022 (page 28 of the file), a message was sent from "suport@kviku.es" to the email "***EMAIL.1", with the following content:

"Good morning:
As of today, the total amount of your debt with Kviku Global Ltd (Kviku), including the fine and interest, is ***CANTIDAD.5. We inform you that according to the credit contract, your case may be transferred to a collection agency. In the near future, calls and visits from third parties may begin at your place of residence as well as at your workplace.
Furthermore, we hereby inform you that according to the credit contract, we will soon include your personal data on a blacklist.
We ask you to try to stop your debt before its total doubles.
Regards,
Customer Service of Kviku"

On November 8, 2022 (page 30 of the file), a message was sent from "support@kviku.es" to the email "***EMAIL.1", with the following content:

"Dear A.A.A.,
Thank you for using our services!
Now in your personal account, you can receive money to any of your accounts with just one click!

Sincerely, Kviku Team.

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FIFTH: In the “Privacy Policy” of KVIKU SPAIN S.L. (pages 378 to 380 of the file), the following is stated:

“How long will your data be retained?”

KVIKU will retain the data provided as long as the interested party does not request its deletion, even when the loan application has not been accepted, in order to avoid duplications in the study of new applications. In the event of exercising the right of deletion or cancellation where the personal data provided by the user is associated with an active operation, it will be retained as long as the commercial relationship between KVIKU and the user has not ended, and once it has ended, the legally established mandatory retention period for invoices and accounting books has not elapsed.”

LEGAL GROUNDS

I

Competence

In accordance with the powers granted to each supervisory authority by Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and as established in Articles 47, 48.1, 64.2, and 68.1 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and guarantee of digital rights (hereinafter, LOPDGDD), the Director of the Spanish Agency for Data Protection is competent to initiate and resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states: “The procedures processed by the Spanish Agency for Data Protection will be governed by the provisions of Regulation (EU) 2016/679, this organic law, the regulatory provisions issued in its development, and, as long as they do not contradict them, subsidiarily by the general rules on administrative procedures.”

II

Preliminary Issues

Article 4.2) of the GDPR defines “processing” as:

“any operation or set of operations performed on personal data or sets of personal data, whether by automated means or not, such as collection, recording, organization, structuring, storage, adaptation or alteration, retrieval, consultation, use, communication by transmission, dissemination or any other form of enabling access, comparison or interconnection, restriction, erasure or destruction.”

For its part, Article 4.7) of the GDPR defines the “data controller” or “controller” as:

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“The natural or legal person, public authority, service, or other body that, alone or jointly with others, determines the purposes and means of the processing; if Union law or the law of the Member States determines the purposes and means of the processing, the controller or the specific criteria for its appointment may be established by Union law or the law of the Member States.”

In the present case, in accordance with the provisions of Articles 4.1 and 4.2 of the GDPR, it is established that there is processing of personal data, since KVIKU, in the development of its business activity, collects and stores personal data of natural persons, among other processing activities.

KVIKU carries out this activity in its capacity as the data controller, as it is the one who determines the purposes and means of such activity, by virtue of Article 4.7 of the GDPR.

For its part, according to its Terms and Conditions, the website crezu.es does not provide loans but collects and compares offers from third parties, having redirected the claimant to the KVIKU website.

Among the principles of processing provided for in Article 5.1 of the GDPR, in its section c) is the data minimization principle, while Article 13 of the GDPR regulates the “information that must be provided when personal data is obtained from the data subject.”

III

Limitation of the retention period

Article 5 of the GDPR, “Principles relating to processing,” establishes that personal data shall be:

“a) [...]

e) maintained in a manner that allows the identification of data subjects for no longer than is necessary for the purposes of processing personal data; personal data may be stored for longer periods as long as they are processed solely for archiving purposes in the public interest, scientific or historical research purposes, or statistical purposes, in accordance with Article 89, paragraph 1, without prejudice to the application of the appropriate technical and organizational measures imposed by this Regulation to protect the rights and freedoms of the data subject (‘limitation of the retention period’);

[...]

The data controller shall be responsible for compliance with the provisions of paragraph 1 and able to demonstrate it (‘proactive responsibility’).”

In this regard, Recital 39 of the GDPR states: “...Personal data must be adequate, relevant, and limited to what is necessary for the purposes for which they are processed. This requires, in particular, ensuring that their retention period is limited to a strict minimum. Personal data should only be processed if the purpose of the processing cannot reasonably be achieved by other means. To ensure that personal data is not retained longer than necessary, the data controller must establish deadlines for their deletion or periodic review.” (the emphasis is ours)

In the present case, it is noted that the Privacy Policy published on the website “kviku.es” states the following: “KVIKU will retain the data provided as long as the data subject does not request its deletion, even when the loan request has not been accepted, in order to avoid duplications in the study of new requests.”

The CJEU ruling of October 20, 2022, has confirmed the scope of this principle contained in Article 5.1.e) of the GDPR relating to the principle of limitation of the retention period: “Thus, as can be unambiguously inferred from the terms in which that provision is drafted, the principle of ‘limitation of the retention period’ requires that the data controller be able to demonstrate, by virtue of the principle of proactive responsibility recalled in paragraph 24 of this judgment, that personal data is retained only for as long as is necessary to achieve the purposes for which it was collected or for which it has been further processed. It follows that even initially lawful processing of data may become, over time, incompatible with Regulation 2016/679 (LCEur 2016, 605) when the data is no longer necessary for the achievement of such purposes [judgment of September 24, 2019 (CJEU 2019, 201), GC and others (Removal of links to sensitive data), C-136/17, EU:C:2019:773, paragraph 74] and that the data must be deleted when those purposes are fulfilled (see, in this regard, the judgment of May 7, 2009, Rijkeboer, C-553/07 (CJEU 2009, 119), EU:C:2009:293, paragraph 33)” (the emphasis is ours).

In light of the above, it is determined that the clause in KVIKU's Privacy Policy violates the provisions of Article 5.1.e) of the GDPR, as it currently retains its customers' personal data indefinitely, not providing for a retention period for the data and making its deletion contingent upon the exercise of the corresponding right by the data subject.

Therefore, in accordance with the evidence in the proceedings, it is considered that the known facts constitute an infringement attributable to KVIKU for violation of Article 5.1.e) of the GDPR.

IV

Classification and qualification of the infringement

The aforementioned violation of Article 5.1.e) of the GDPR constitutes the commission of the infringement classified in Article 83.5 of the GDPR, which under the heading “General conditions for the imposition of administrative fines” states:

“Violations of the following provisions shall be sanctioned, in accordance with paragraph 2, with administrative fines of up to 20,000,000 EUR or, in the case of an undertaking, an amount equivalent to a maximum of 4% of...”

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total annual global turnover of the previous financial year, opting for the highest amount:

a) the basic principles for processing, including the conditions for consent in accordance with Articles 5, 6, 7, and 9;”

In this regard, the LOPDGDD, in its Article 71, establishes that “Acts and behaviors referred to in paragraphs 4, 5, and 6 of Article 83 of Regulation (EU) 2016/679, as well as those that are contrary to this organic law, constitute infringements.”

For the purposes of the statute of limitations, Article 72 of the LOPDGDD indicates:

Article 72. Very serious infringements.

“1. Based on what is established in Article 83.5 of Regulation (EU) 2016/679, the following are considered very serious and shall be subject to a three-year statute of limitations for infringements that constitute a substantial violation of the articles mentioned therein, particularly the following:

a) The processing of personal data in violation of the principles and guarantees established in Article 5 of Regulation (EU) 2016/679.

V

Sanction for the infringement of Article 5.1.e) of the GDPR

In order to establish the administrative fine that should be imposed, the provisions contained in Article 83 of the GDPR must be observed, which states:

“1. Each supervisory authority shall ensure that the imposition of administrative fines under this article for the infringements of this Regulation indicated in paragraphs 4, 5, and 6 is, in each individual case, effective, proportionate, and dissuasive.

2. Administrative fines shall be imposed, depending on the circumstances of each individual case, as an additional or substitute measure for the measures provided for in Article 58, paragraph 2, letters a) to h) and j). In deciding to impose an administrative fine and its amount in each individual case, the following shall be duly taken into account:

a) the nature, gravity, and duration of the infringement, taking into account the nature, scope, or purpose of the processing operation in question as well as the number of data subjects affected and the level of damage suffered;

b) the intentionality or negligence in the infringement;

c) any measures taken by the controller or processor to mitigate the damage suffered by the data subjects;

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d) the degree of responsibility of the controller or processor, taking into account the technical or organizational measures they have implemented pursuant to Articles 25 and 32;

e) any previous infringement committed by the controller or processor;

f) the degree of cooperation with the supervisory authority in order to remedy the infringement and mitigate the possible adverse effects of the infringement;

g) the categories of personal data affected by the infringement;

h) the manner in which the supervisory authority became aware of the infringement, in particular whether the controller or processor notified the infringement and, if so, to what extent;

i) when the measures indicated in Article 58, paragraph 2, have been previously ordered against the controller or processor in relation to the same matter, compliance with those measures;

j) adherence to codes of conduct under Article 40 or to certification mechanisms approved under Article 42, and

k) any other aggravating or mitigating factor applicable to the circumstances of the case, such as the

financial benefits obtained or the losses avoided, directly or indirectly, through the infringement.” Regarding this last item k) of Article 83.2 of the GDPR, the LOPDGDD, Article 76, “Sanctions and corrective measures,” provides:

“2. In accordance with the provisions of Article 83.2.k) of Regulation (EU) 2016/679, the following may also be taken into account:

- a) The continued nature of the infringement.
- b) The connection of the infringer's activity with the processing of personal data.
- c) The benefits obtained as a result of the commission of the infringement.
- d) The possibility that the conduct of the affected party may have induced the commission of the infringement.
- e) The existence of a merger by absorption after the commission of the infringement, which cannot be attributed to the absorbing entity.
- f) The impact on the rights of minors.
- g) Having a data protection officer when not mandatory.

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- h) The voluntary submission by the responsible party or processor to alternative dispute resolution mechanisms, in cases where there are disputes between them and any interested party.”

In accordance with the transcribed provisions, for the purpose of determining the amount of the fine to be imposed on the entity being claimed as responsible for an infringement of the provisions of Article 5.1.e) of the GDPR, classified under Article 83.5.a) of the GDPR, the following factors are deemed concurrent in the present case:

As circumstances of Article 83.2 of the GDPR for the purpose of determining the degree of severity of the infringement:

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Article 83.2.a) of the GDPR: The nature, gravity, and duration of the infringement. The severity is increased because the purpose of the processing is related to the main activity of the responsible party.

-

Article 83.2.g) of the GDPR: The categories of personal data affected by the infringement. The processing affected, among others, financial personal data, which deserves special protection. In section 4.2.3 of the Guidelines 04/2022 on the calculation of administrative fines under the GDPR, prepared by the EDPS, the following is expressed (unofficial translation):

“Categories of affected personal data

58. Regarding the requirement to take into account the categories of affected personal data [Article 83, paragraph 2, letter g), of the GDPR], the GDPR clearly highlights the types of data that deserve special protection and, therefore, a stricter response regarding fines. This refers, at a minimum, to the types of data referred to in Articles 9 and 10 of the GDPR and to data outside the scope of these articles whose dissemination causes immediate harm to the data subject 26 (for example, location data, data on private communications, national identification numbers, or financial data, such as transaction summaries or credit card numbers).”

As a criterion for graduation under Article 76.2 of the LOPDGDD, applied as an aggravating factor:

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Article 76.2.b) of the LOPDGDD: The link of the infringer's activity with the processing of personal data: KVIKU, in the development of its financial activity of granting online loans, needs to routinely process personal data, which implies that it has sufficient experience and should have the appropriate knowledge for the processing of such data.

It is appropriate to graduate the sanction to be imposed on the claimed entity and set it at the amount of €4,000 (four thousand euros) for the infringement of Article 5.1.e) of the GDPR classified under Article 83.5.a) of the GDPR.

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Right to Erasure (“the right to be forgotten”)

Article 17, “Right to Erasure,” of the GDPR establishes:

“1. The data subject shall have the right to obtain from the controller the erasure of personal data concerning them without undue delay, and the controller shall be obliged to erase personal data without undue delay when one of the following applies:

- a) the personal data are no longer necessary in relation to the purposes for which they were collected or otherwise processed;
- b) the data subject withdraws consent on which the processing is based according to Article 6, paragraph 1, letter a), or Article 9, paragraph 2, letter a), and this is not based on another legal ground;
- c) the data subject objects to the processing under Article 21, paragraph 1, and there are no overriding legitimate grounds for the processing, or the data subject objects to the processing under Article 21, paragraph 2;
- d) the personal data have been unlawfully processed;
- e) the personal data must be erased for compliance with a legal obligation under Union or Member State law applicable to the controller;
- f) the personal data have been collected in relation to the offer of information society services referred to in Article 8, paragraph 1.

2. When the controller has made the personal data public and is obliged, under paragraph 1, to erase such data, the controller, taking into account the available technology and the cost of implementation, shall take reasonable steps, including technical measures, to inform controllers that are processing the personal data of the data subject's request for erasure of any links to such personal data, or any copies or replicas of the same.

3. Paragraphs 1 and 2 shall not apply when processing is necessary:

- a) for exercising the right to freedom of expression and information;
- b) for compliance with a legal obligation which requires processing by Union or Member State law applicable to the controller, or for the performance of a task carried out in the public interest or in the exercise of official authority vested in the controller;
- c) for reasons of public interest in the area of public health in accordance with Article 9, paragraph 2, letters h) and i), and paragraph 3;

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d) for archiving purposes in the public interest, for scientific or historical research purposes, or for statistical purposes, in accordance with Article 89, paragraph 1, to the extent that the right referred to in paragraph 1 could make it impossible or seriously hinder the achievement of the objectives of such processing, or

e) for the formulation, exercise, or defense of claims.”

In this case, on September 1, 2022, the claimant requested via email to KVIKU “the legal deletion of all my data,” exercising the right to erasure of their data as provided for in Article 17 of the GDPR.

However, KVIKU did not process the request, and in the emails sent by KVIKU on September 3, 2022, October 23, 2022, October 30, 2022, and November 6, 2022, the claimant was not informed of the reasons for their inaction.

KVIKU was required to respond to the exercise of the right within one month from the receipt of the request, as stipulated in Article 12 of the GDPR, or, failing that, to inform the claimant of the reasons

why their request could not be processed.

Therefore, in accordance with the evidence in the proceedings, it is considered that the known facts constitute an infringement attributable to KVIKU for violating Article 17 of the GDPR.

VII

Classification and qualification of the infringement of Article 17 of the GDPR

The aforementioned violation of Article 17 of the GDPR constitutes the commission of the infringement classified in Article 83.5 of the GDPR, which under the heading “General conditions for the imposition of administrative fines” states:

“Violations of the following provisions shall be subject to administrative fines of up to 20,000,000 EUR or, in the case of an enterprise, an amount equivalent to a maximum of 4% of the total annual global turnover of the previous financial year, opting for the higher amount:

(...)

b) the rights of data subjects under Articles 12 to 22;”

For the purposes of the limitation period, Article 72 “Very serious infringements” of the LOPDGDD indicates:

“1. Based on what is established in Article 83.5 of Regulation (EU) 2016/679, the following infringements are considered very serious and shall be subject to a three-year limitation period for substantial violations of the articles mentioned therein, and in particular the following:

(...)

k) The obstruction or hindrance or repeated non-attention to the exercise of the rights established in Articles 15 to 22 of Regulation (EU) 2016/679.

VIII

Sanction for the infringement of Article 17 of the GDPR

For the purpose of deciding on the imposition of an administrative fine and its amount, in accordance with the evidence in the proceedings, it is considered that the balance of the circumstances contemplated in Article 83.2 of the GDPR and Article 76.2 of the LOPDGDD, regarding the infringement committed by violating the provisions of Article 17 of the GDPR, allows for the imposition of a fine of €2,000 (two thousand euros).

IX

Adoption of measures

In accordance with the provisions of Article 58.2 d) of the GDPR, which states that each supervisory authority may “order the controller or processor to ensure that the processing operations comply with the provisions of this Regulation, where appropriate, in a specific manner and within a specified time frame...”, in this resolution, KVIKU is required to demonstrate to this Agency within 3 months the adoption of the following measures:

- Adapt the retention period of personal data of its customers to what is provided in Article 5.1.e) of the GDPR, reflecting this adaptation duly in its Privacy Policy.
- Respond to the request for the exercise of the right to erasure made by the claimant.

It is warned that failure to comply with the possible order to adopt measures imposed by this agency in the sanctioning resolution may be considered an administrative infringement in accordance with the provisions of the GDPR, classified as an infringement in Articles 83.5 and 83.6, which may lead to the initiation of further administrative sanctioning proceedings.

Therefore, in accordance with the applicable legislation and assessed the criteria for the graduation of the sanctions whose existence has been established,

the Director of the Spanish Agency for Data Protection RESOLVES:

FIRST: TO IMPOSE on KVIKU SPAIN, S.L., with NIF B09804295:

- For the infringement of Article 5.1.e) of the GDPR, classified in Article 83.5.a) of that regulation, a fine of €4,000 (four thousand euros).
- For the infringement of Article 17 of the GDPR, classified in Article 83.5.b) of that regulation, a fine of €2,000 (two thousand euros).

SECOND: TO ORDER KVIKU SPAIN, S.L., with NIF B09804295, that pursuant to Article 58.2.d) of the GDPR, within 3 months from the date of this resolution

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Firm and executive, certify having proceeded to comply with the measures indicated in Legal Basis IX, these are:

- Adapt the retention period of personal data of its clients to what is provided in Article 5.1.e) of the GDPR, reflecting this adaptation duly in its Privacy Policy.
- Respond to the request for the exercise of the right to erasure made by the complaining party.

THIRD: NOTIFY this resolution to KVIKU SPAIN, S.L.

FOURTH: This resolution will be executive once the period for filing the optional appeal for reconsideration (one month from the day following the notification of this resolution) has expired without the interested party having exercised this right. The sanctioned party is warned that they must comply with the imposed sanction once this resolution becomes executive, in accordance with the provisions of Article 98.1.b) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter LPACAP), within the voluntary payment period established in Article 68 of the General Collection Regulation, approved by Royal Decree 939/2005, of July 29, in relation to Article 62 of Law 58/2003, of December 17, by making the payment, indicating the NIF of the sanctioned party and the procedure number that appears in the heading of this document, into the restricted account No.

IBAN: ES00-0000-0000-0000-0000 (BIC/SWIFT Code: CAIXESBBXXX), opened in the name of the Spanish Agency for Data Protection at the banking entity CAIXABANK, S.A. Otherwise, collection will proceed in the executive period.

Upon receipt of the notification and once it is executive, if the date of executiveness falls between the 1st and the 15th of each month, inclusive, the deadline for making the voluntary payment will be until the 20th of the following month or the next business day thereafter, and if it falls between the 16th and the last day of each month, inclusive, the payment deadline will be until the 5th of the second following month or the next business day thereafter.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

Against this resolution, which concludes the administrative procedure in accordance with Article 48.6 of the LOPDGDD, and in accordance with the provisions of Article 123 of the LPACAP, the interested parties may optionally file an appeal for reconsideration before the Director of the Spanish Agency for Data Protection within one month from the day following the notification of this resolution or directly file a contentious-administrative appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and in section 5 of the fourth additional provision of Law 29/1998, of July 13, regulating the Contentious-Administrative Jurisdiction, within two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law.

Finally, it is noted that in accordance with the provisions of Article 90.3 a) of the LPACAP, the firm resolution in the administrative procedure may be provisionally suspended if the interested party expresses their intention to file a contentious-administrative appeal. If this is the case, the interested party must formally communicate this fact by means of a written document addressed to the Spanish Agency for Data Protection, submitting it through the Electronic Registry of the Agency [<https://sedeagpd.gob.es/sede-electronica-web/>], or through any of the other registries provided for in Article 16.4 of the aforementioned Law 39/2015, of October 1. They must also provide the Agency with documentation that proves the effective filing of the contentious-administrative appeal. If the Agency is not aware of the filing of the contentious-administrative appeal within two months from the day following the notification of this resolution, it will consider the provisional suspension to be concluded.

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Mar España Martí
Director of the Spanish Agency for Data Protection

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